



ESSENTIALS OF FINANCIAL ACCOUNTING

Lesson 6

Enrichment Exercise # 1

Choose a public company and identify through the footnote disclosures:

1. What inventory method do they use?
2. What was their Gross Accounts Receivable vs their Net Accounts Receivable?
3. Do they provide information about how they estimate uncollectible accounts?

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1. I chose Apple, Inc., using their 2015 Annual Report.

<http://files.shareholder.com/downloads/AAPL/4668462504x0xS1193125-15-356351/320193/filing.pdf>

Inventories

Inventories are stated at the lower of cost, computed using the first-in, first-out method and net realizable value. Any adjustments to reduce the cost of inventories to their net realizable value are recognized in earnings in the current period. As of September 26, 2015 and September 27, 2014, the Company's inventories consist primarily of finished goods.

As you can see from the footnote disclosure above from page 48 in Apple's 2015 Annual Report, Apple has chosen the first-in, first-out (FIFO) inventory valuation method. This method assigns the costs associated with the oldest inventory (inventory that was "first in" or first purchased) to the inventory that is sold to customers (first out or first sold). Additionally, Apple follows the lower-of-cost-or-market (LCM) rule, as required by US GAAP. This means that if the market value of inventory declines below the historical cost, Apple must reduce the inventory (asset) value to this lower value.

2. Apple's Accounts Receivable is presented in the balance sheet, as follows:

CONSOLIDATED BALANCE SHEETS			
(In millions, except number of shares which are reflected in thousands and par value)			
		September 26, 2015	September 27, 2014
ASSETS:			
Current assets:			
Cash and cash equivalents	\$	21,120	\$ 13,844
Short-term marketable securities		20,481	11,233
Accounts receivable, less allowances of \$82 and \$86, respectively		16,849	17,460
Inventories		2,349	2,111
Deferred tax assets		5,546	4,318
Vendor non-trade receivables		13,494	9,759
Other current assets		9,539	9,806
Total current assets		89,378	68,531
Long-term marketable securities		164,065	130,162

The \$16,849 million on the face of the balance sheet is "net" of an additional \$82 million, thus Gross Accounts Receivable are \$16,931 million. In other words, customers owe

Apple a total (gross) amount of \$16,931 million. Apple reduces this gross amount by \$82 million in an Allowance account, the amount they estimate could be uncollectible. Why do they think that customers will not pay their bills? This is life! Things happen, customers go bankrupt or have disputes ... in order to quantify their estimate, companies will look at their historical experience and use this as a guide. There are different accounting methods for how they quantify this uncollectible amount.

3. They tell us in a footnote on page 48 how they assess doubtful or uncollectible accounts:

Allowance for Doubtful Accounts

The Company records its allowance for doubtful accounts based upon its assessment of various factors, including historical experience, age of the accounts receivable balances, credit quality of the Company's customers, current economic conditions and other factors that may affect the customers' ability to pay.

Net Accounts Receivable represent the value a company reasonably expects to collect on amounts due from customers. For the prior fiscal year ended September 27, 2014, the Net Accounts Receivable are \$17,460 and the Allowance is \$86 million, thus to calculate the Gross Accounts Receivable, simply add the Allowance to the Net to get a total of \$17,546 million.